

25STCV18440 25STCV18440

County: los-angeles

Division: Civil Law and Motion

Department: 513

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Case Number: 25STCV18440 Hearing Date: June 24, 2026 Dept: 513

Superior Court of California

County of Los Angeles – Central District

Department

513

CARDIGAN GENERAL INSURANCE
SERVICES, LLC

;

Plaintiff,

vs.

TOPA INSURANCE COMPANY

, et al.;

Defendants.

Case

No.:

25STCV18440

Hearing

Date:

June
24, 2026

Time:

10:00 a.m.

[tentative]

Order RE:

demurrer of defendant topa insurance
company to plaintiff cardigan general insurance services, llc's first
amended complaint

MOVING PARTY: Defendant Topa Insurance
Company

RESPONDING PARTY: Plaintiff Cardigan General Insurance Services, LLC

Demurrer to First Amended Complaint

The court
considered the moving, opposition, and reply papers filed in connection with
this demurrer.

DISCUSSION

Defendant Topa Insurance Company ("Defendant") demurs to the First
Amended Complaint ("FAC") of plaintiff Cardigan General Insurance Services, LLC
("Plaintiff") as to the first and second causes of action on the grounds that
the FAC does not state facts sufficient to constitute a cause of action and are
uncertain.

The court overrules the demurrer to the FAC on the ground of uncertainty
because the FAC is not uncertain as it is neither ambiguous nor unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) It is clear
that the FAC makes allegations
regarding the parties entering into successive General Agency Agreements
("GAAs") (FAC, ¶ 6), Defendant's breach of the 2019 GAA by failing to pay

Plaintiff amounts due to Plaintiff by Defendant (FAC, ¶ 8), and Defendant's breach of the implied covenant of good faith and fair dealing (FAC, ¶ 12), all of which Defendant can reasonably respond to. (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695, ["[D]emurrers for uncertainty are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond"] [internal citations and quotations omitted].)

The court overrules Defendant's demurrer to the first cause of action for breach of contract because it states facts sufficient to constitute a cause of action since Plaintiff alleges that (1) Plaintiff and Defendant entered into two successive GAAs dated December 1, 2014 and April 1, 2019 (FAC, ¶ 6), under the GAAs, Plaintiff would market commercial lines automobile coverage for Defendant through Plaintiff's network of retail agencies and Defendant paid Plaintiff commissions, (FAC, ¶ 7), (2) Plaintiff fully performed its obligations under the GAAs except those obligations it was prevented or excused from performing by Defendant's breach (FAC, ¶¶ 7, 9), (3) Defendant breached the 2019 GAA by failing to pay Plaintiff amounts due to Plaintiff under paragraph 5 of the Recitals and sections 3A, 19A, 23, 31, and 36 under the 2019 GAA (FAC, ¶ 8), and (4) as a legal consequence of Defendant's breaches, Plaintiff has been damaged. (FAC, ¶ 10.) (Code Civ. Proc., § 430.10, subd. (e); Miles v. Deutsche Bank National Trust Co. (2015) 236 Cal.App.4th 394, 402 [elements of breach of contract].)

The court sustains Defendant's demurrer to the second cause of action for breach of the implied covenant of good faith and fair dealing because it does not state facts sufficient to constitute a cause of action since Plaintiff fails to allege an act or omission by Defendant other than breach of the duty to pay Plaintiff what it was owed under the 2019 GAA. (Code Civ. Proc., § 430.10, subd. (e); Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394 ["A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself' . . ."] [internal quotations and citations omitted].) Thus, Plaintiff's second cause of action is disregarded as superfluous because no additional claim is actually stated. (Id. at p. 1395, ["If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated"].)

The burden is on the plaintiff "to articulate how it could amend its pleading to render it sufficient."¿ (Palm Springs Villas II Homeowners Assn., Inc. v. Parth (2016) 248 Cal.App.4th 268, 290.)¿ To satisfy that burden, a plaintiff "must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading."¿ (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) The court finds that Plaintiff has not met its burden to show how it can cure its deficiencies. The court therefore sustains Defendant's demurrer to the second cause of action for breach of the implied covenant of good faith and fair dealing without leave to amend.

ORDER

The court overrules defendant Topa Insurance Company's demurrer to plaintiff Cardigan General Insurance Services, LLC's first cause of action.

The court sustains defendant Topa Insurance Company's demurrer to plaintiff Cardigan General Insurance Services, LLC's second cause of action without leave to amend.

The court orders defendant Topa Insurance Company to file an answer to the First Amended Complaint within 10 days of the date of this order.

The court orders defendant Topa Insurance Company to give notice of this ruling.

IT IS SO ORDERED.

DATED: June 24, 2026

Robert
B. Broadbelt III

Judge
of the Superior Court